Cameroon: Debt Sustainability Analysis

A. Methodology

1. **The debt sustainability analysis (DSA) was prepared jointly by Fund and Bank staff in accordance with the standardized methodology for low-income countries.** It is based on the framework approved by the Executive Boards of the Fund and the World Bank in April 2005.[1] The DSA uses non-reconciled debt data, a single discount rate, WEO exchange rate projections, current values for denominators in all debt ratios, and policy-dependent indicative thresholds.[2]

2. **Consistent with the medium-term fiscal program, this DSA uses the scenario of debt relief associated with the HIPC completion point as the baseline.** This is different from the last DSA prepared by Fund staff for the Article IV consultation, which used as the baseline scenario total debt service due before debt relief associated with the completion point.[3]

3. **The conclusions of this DSA are presented in relation to policy-dependent debt-burden thresholds.** Cameroon is classified as a medium performer in terms of the quality of its policies and institutions as measured by the World Bank's Country Policy and Institutional Assessment (CPIA) index.[4]

4. **The DSA is based on the data provided by Cameroon's main multilateral creditors and on data from the authorities on the remaining creditors.** Because the overall quality of data on Cameroon's external debt is uneven and the structure of debt is complex (Figure 1), with each debt category requiring a different treatment, the analysis of the aggregate debt data can indicate only general trends. Further reconciliation of debt numbers will be needed by the time Cameroon reaches its HIPC completion point.

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[1] www.imf.org.

[2] By the time Cameroon reaches the HIPC completion point, the staffs of the Fund and the Bank will have prepared a full-fledged HIPC DSA. The HIPC DSA will be based on a different methodology, i.e., a loan-by-loan reconciliation, currency-specific discount rates, exchange rates prevailing at the completion point, and three-year backward-looking export averages for debt ratios.

[3] Country report No. 05/164.

[4] For a medium performer the indicative thresholds for external debt sustainability are NPV of debt-to-exports ratio of 150 percent, NPV of debt-to-GDP ratio of 40 percent, NPV of debt-to-revenue ratio of 250 percent, debt service-to-exports ratio of 20 percent, and debt service-to-revenue ratio of 30 percent.

5. **This DSA consists of two parts—external and fiscal**. Because of data deficiencies, the analysis in the external debt DSA is limited to the external debt of the central government. The fiscal DSA aims at assessing the sustainability of total debt—external and domestic—incurred by the public sector. This includes state enterprise debt.

6. **Key assumptions underlying the DSA are consistent with the proposed PRGF-supported program and the conventions of handling debt relief under the Enhanced HIPC Initiative**.

- *Macroeconomic assumptions*: Real GDP growth of 2.8 percent in 2005, gradually accelerating to 4-5 percent in the medium term; subdued inflation as measured by a GDP deflator of below 2 percent; an average export growth rate of 5 percent in 2005-10; a primary fiscal surplus of 3 percent of GDP in 2005, gradually declining to a deficit of 1 percent by 2010; an external current account deficit of 3 percent of GDP, on average, in the medium term; new borrowing on the order of 2 percent of GDP during the forecast period; NPV of domestic debt equal to its face value; a continued restraint on non-concessional external borrowing (grant element below 35 percent) in 2005-2010; and thereafter a shift away from concessional new borrowing consistent with Cameroon's graduation from financing on highly concessional IDA terms.

- *Assumptions on the delivery of HIPC debt relief*

  i. *Before the completion point*: After the approval of a new PRGF arrangement, Cameroon would request the Paris Club to extend the provision of interim relief. In 2005:Q4 Cameroon would be granted a Paris Club flow rescheduling on Cologne terms.

  ii. *At the completion point*: The completion point is assumed to be reached in the second quarter of 2006; Paris Club creditors would provide their full share of HIPC assistance in the form of a stock operation on Cologne terms and non-Paris Club and commercial creditors would provide comparable treatment;

- *Assumptions on the delivery of bilateral debt relief beyond the HIPC Initiative*. Paris Club creditors are assumed to deliver additional bilateral debt relief according to their standard practices.

- *Assumptions related to the graduation from IDA financing*. According to the operational guidelines of IDA as of July 1, 2005, a country's eligibility for financing on IDA terms depends on three factors: (i) a GNI per capita at or below US$965, (ii) no access to external financing on market terms and (iii) a demonstrated track record of good policy performance. Under the baseline, Cameroon is projected to graduate from IDA in 2010. It is assumed that starting from that year new lending on concessional IDA terms will be gradually phased out. It is also assumed that similar action will be taken by other providers of concessional financing.

7. **Substantial revisions of the national accounts data have had an impact on the debt ratios since the last DSA.** After the DSA of March 2005, the following revisions were made: the authorities revised upward the nominal GDP series for 1993-2003 by almost 10 percent; non-oil exports for 2003 were revised downward by some 4 percent; and Cameroon's oil export price increased by almost 30 percent, reflecting world oil price developments. Since end-December 2004, the authorities have updated the debt database to reflect disbursements and repayments in the first half of 2005, as well as additional bilateral debt relief received.

B. Recent Developments

8. **At end-2004, the face value of external debt is estimated at US$7 billion (44 percent of GDP).** Over 29 percent of this debt was multilateral (including 27 percent owed to the World Bank, IMF, and African Development Bank (AfDB), 67 percent bilateral (mainly to Paris Club creditors), and the rest commercial (London Club).

9. **Cameroon has regularly serviced its debt to multilateral creditors**. Most multilateral creditors have provided HIPC interim assistance, including the World Bank, the IMF, the AfDB, and the OPEC Fund. IDA and AfDB interim relief ended in March 2003 and October 2003, respectively, as Cameroon reached the cumulative limits set by these institutions. The IMF provided interim assistance through 2004; no interim assistance has been provided so far in 2005 in the absence of a PRGF arrangement.

Public External Debt

	2004 est.		
	US$ million	Percent of total	Percent of GDP
Total	6,984	100	44
Multilateral	2,056	29	13
IMF	318	5	2
World Bank	1,194	17	8
AfDB	331	5	2
Other	213	3	1
Bilateral	4,695	67	30
Paris Club	4,560	65	29
Non Paris Club	136	2	1
Commercial	233	3	1

10. **Cameroon received financing assurances of HIPC relief from bilateral creditors**. After Cameroon reached the decision point under the HIPC Initiative in October 2000, the government received financing assurances of HIPC debt relief from official creditors holding more than 98 percent of its bilateral debt. The Paris Club has extended interim relief to Cameroon and will provide the remainder of total assistance committed at the completion point. In 2005, Germany, Italy, and the United Kingdom provided debt relief beyond the HIPC Initiative, canceling a total of US$15.8 million. Outside the Paris Club, Cameroon also signed a partial debt cancellation agreement with China and a stock of debt rescheduling agreement on ODA terms with Kuwait.

11. **Cameroon's debt to commercial creditors, of which some has been subject to litigation, remains in arrears.** In August 2003, Cameroon settled part of its commercial debts through an IDA-supported buy-back operation at 14.5 percent of face value, which resulted in a debt cancellation of US$870 million. However, 22 commercial creditors, which held about 20 percent (US$240 million in claims, including US$78 million principal) of the total debt to commercial creditors at the time, did not accept the buy-back deal, and some

sold claims on Cameroon at a large discount. Recently, four commercial creditors —the Winslow Bank, Del Favero SPA, Sconset Ltd., and Grace Church Capital—have pursued legal recourse through litigation and seizure of Cameroonian assets abroad. In early 2005, Winslow sued, and under a court ruling recovered US$50 million from Cameroon's state oil company (SNH) deposits in France, and Del Favero froze the account of the Cameroonian embassy in London. Five other commercial creditors have formally requested repayment from Cameroon.

12. **Information on domestic debt has improved significantly.** In July 2005, the authorities made available preliminary results of an audit of domestic debt as of end-2004. As a result, the level of recognized domestic debt increased to CFAF 1.4 billion (17 percent of GDP), i.e. by 5 percent of GDP compared with the earlier estimate. The debt audit, however, covered only suppliers' bills already validated by the Treasury, while other government liabilities to suppliers recorded only by line ministries were not covered. Based on the new data, the authorities prepared a medium-term repayment plan, placing special attention on payments that can help reduce poverty (arrears on salaries and pensions) and improve business confidence (arrears to suppliers).

Public Domestic Debt, 2004

	CFAF billion	Percent of total	Perccent of GDP
Total	1,424	100	17
Structured debt	933	66	11
Bank	322	23	4
Nonbank	611	43	7
Securitized	544	38	6
Nonsecuritized	67	5	1
Nonstructured debt	491	34	6

C. External Debt Sustainability

13. **Under a baseline scenario that assumes the full delivery of HIPC assistance after an estimated completion point in the second quarter of 2006, Cameroon's external debt burden indicators do not signal a significant risk of debt distress.** After HIPC assistance and additional bilateral debt relief from Paris Club creditors,[5] all debt burden indicators are substantially below the relevant policy-dependent threshold (Figure 2). The NPV of the debt-to-GDP ratio is forecast to decline from 36 percent (after past debt relief) in 2004 to 12 percent (with new anticipated debt relief) in 2010, the NPV of debt to exports from 153 to 53 percent, and cash debt service to exports from 7 to 4 percent (Table 1).

[5] Cameroon will benefit from a substantial multiyear bilateral debt relief from France under the *Contrats de désendettement et de développement* (C2D), a bilateral program of debt reduction supplemental to the HIPC Initiative, as well as other additional bilateral debt relief from other Paris Club creditors.

Summary External Debt Sustainability Assessment (In percent of GDP)	2004	2005	2006	2007	2008	2009	2010
NPV of PPG external debt							
In percent of GDP (threshold=40)							
After past debt relief	35.8	31.1	27.5	24.6	22.1	19.7	18.0
With new anticipated debt relief	14.6	13.0	12.9	12.6	12.3	12.0	11.8
In percent of exports (threshold=150)							
After past debt relief	153.3	127.8	106.7	104.5	98.1	87.9	80.0
With new anticipated debt relief	62.3	53.5	49.8	53.5	54.6	53.8	52.9
Debt service							
In percent of exports (threshold=20)							
After past debt relief	23.0	20.2	17.1	15.2	13.6	12.3	9.5
With new anticipated debt relief	8.6	7.1	3.6	4.0	4.2	4.0	3.6
Effectively paid 1/	7.0	6.7	...	...	...	...	...

1/ Projected cash payments for 2005.

14. **The sensitivity scenarios reveal that Cameroon's debt situation of fairly resilient to shocks, except for one: a worsening of the terms of new borrowing.** If new borrowing (in 2007-20) is assumed to be contracted in less concessional terms than under the baseline, all debt ratios will start deteriorating rapidly although they will still be below the indicative thresholds (Figure 2). A hypothetical one time 30 percent nominal depreciation relative to the baseline in 2006 of the CFAF vis-à-vis the US dollar and a shock on exports also lead to a deterioration of debt burden indicators.

D. Fiscal Debt Sustainability

15. **Even though the external public debt indicators indicate a low risk of debt distress for the time after the Completion Point, the NPV of debt to GDP ratio doubles with the inclusion of domestic debt**. However, as a result of substantial repayments on domestic debt in 2005 and projected for the medium term, the NPV of debt-to-GDP ratio will decline from 32 to 18 percent from 2004 to 2010, the NPV of debt-to-revenue ratio will decrease from 207 to 110 percent, and the debt service-to-revenue ratio will decline from 15 to 6 percent (Table 3).

16. **Alternative scenarios and stress tests yield a significant deterioration of the public debt outlook**. One scenario, assuming an increase of borrowing to 10 percent of GDP after the completion point in 2007-08, points to a significant deterioration of the ratios. The debt-to-GDP ratio rises to over 35 percent and only slowly comes to down by 2020. The NPV of debt-to-revenue ratio remains above 190 percent for the rest of the projection period (Figure 3). Permanently lower GDP growth assumed at a one standard deviation below the baseline is another adverse scenario. A 30 percent real depreciation is an important short-term negative shock (Table 4). However, the impact of the shock does not seem to be protracted, and no exploding debt path is expected to emerge under any of the scenarios.

E. Conclusions

17. **After the full delivery of HIPC debt relief and bilateral debt relief beyond HIPC at the completion point, Cameroon faces a low risk of debt distress, despite an upward trend of the debt dynamics under less favorable scenarios.** All external debt indicators remain below the relevant country-specific debt burden thresholds. Stress testing reveals an upward trend for the debt indicators but does not result in a breach of the thresholds during the projection period.

18. **The sustainability of Cameroon's long-term debt hinges on continued strong macroeconomic policies.** These include an average real GDP growth of at least 4-5 percent annually, low inflation, strong tax efforts, and primary fiscal surpluses. Further advancement on governance, a strong commitment to reforms, and prudent policies will be key for Cameroon to maintain its debt burden within reasonable bounds.

19. **The stress tests indicate that a prudent borrowing strategy will be essential for maintaining both external and fiscal debt sustainability**. Such a strategy may be based on the following principles: (i) new borrowing should not exceed the average nominal GDP growth rate in dollar terms to help maintain the debt-to-GDP ratios at sustainable levels; (ii) continued restraint on nonconcessional borrowing after the completion point until Cameroon graduates from concessional windows of financing; continued concessional borrowing will help secure the needed time for intensive domestic investment in priority areas using the resources released by reduced debt service payments; (iii) gradual repayment of domestic debt while securitizing and regularly servicing the remaining part; (iv) ensuring the effective use of borrowed resources on commercially viable projects and of poverty-reducing expenditure. Going forward periodic updates as part of the budgetary cycle of the forward-looking DSA can help inform decisions on new loans and their implications for debt sustainability.

Figure 1. Cameroon: Simplified Debt Structure

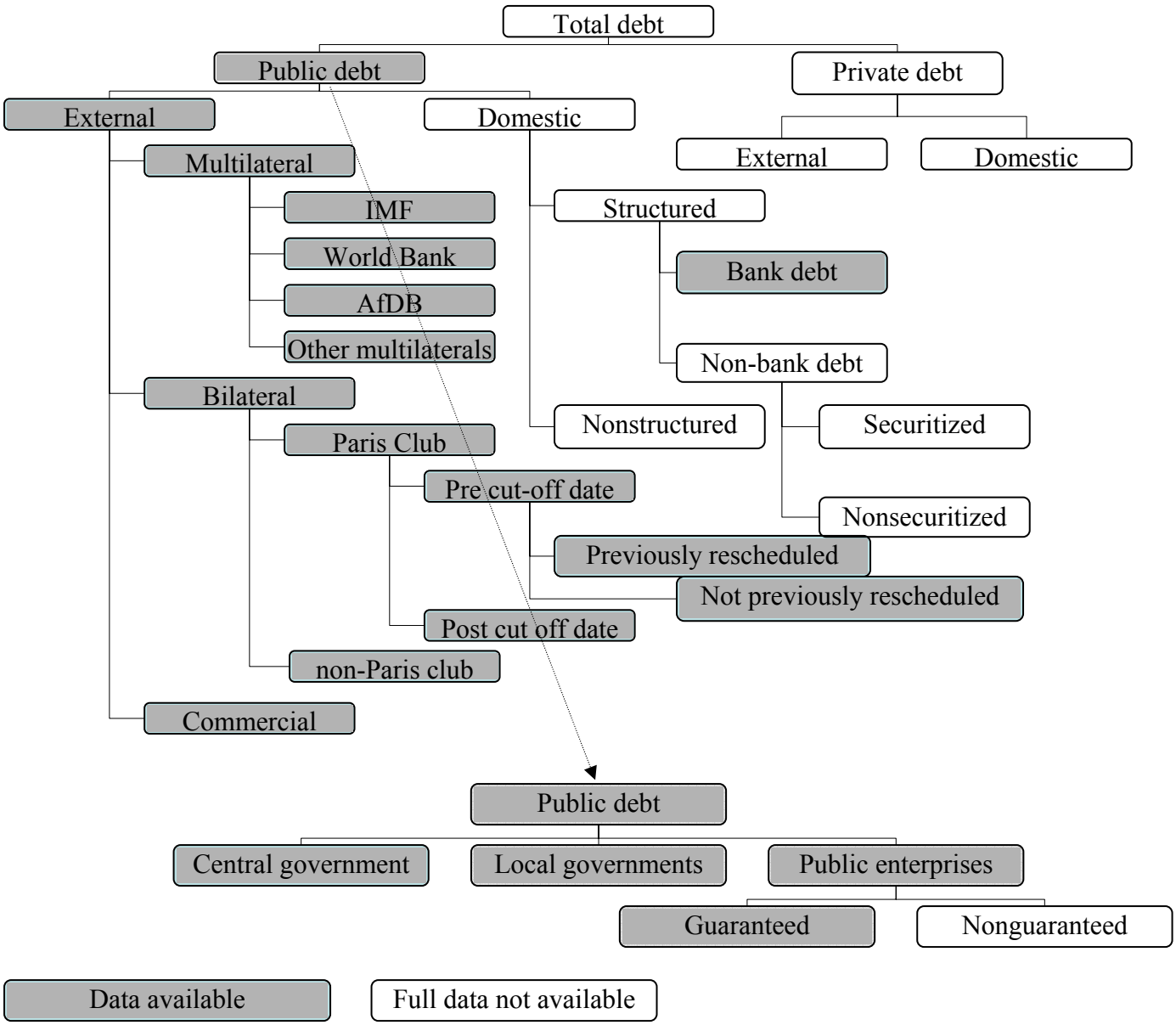
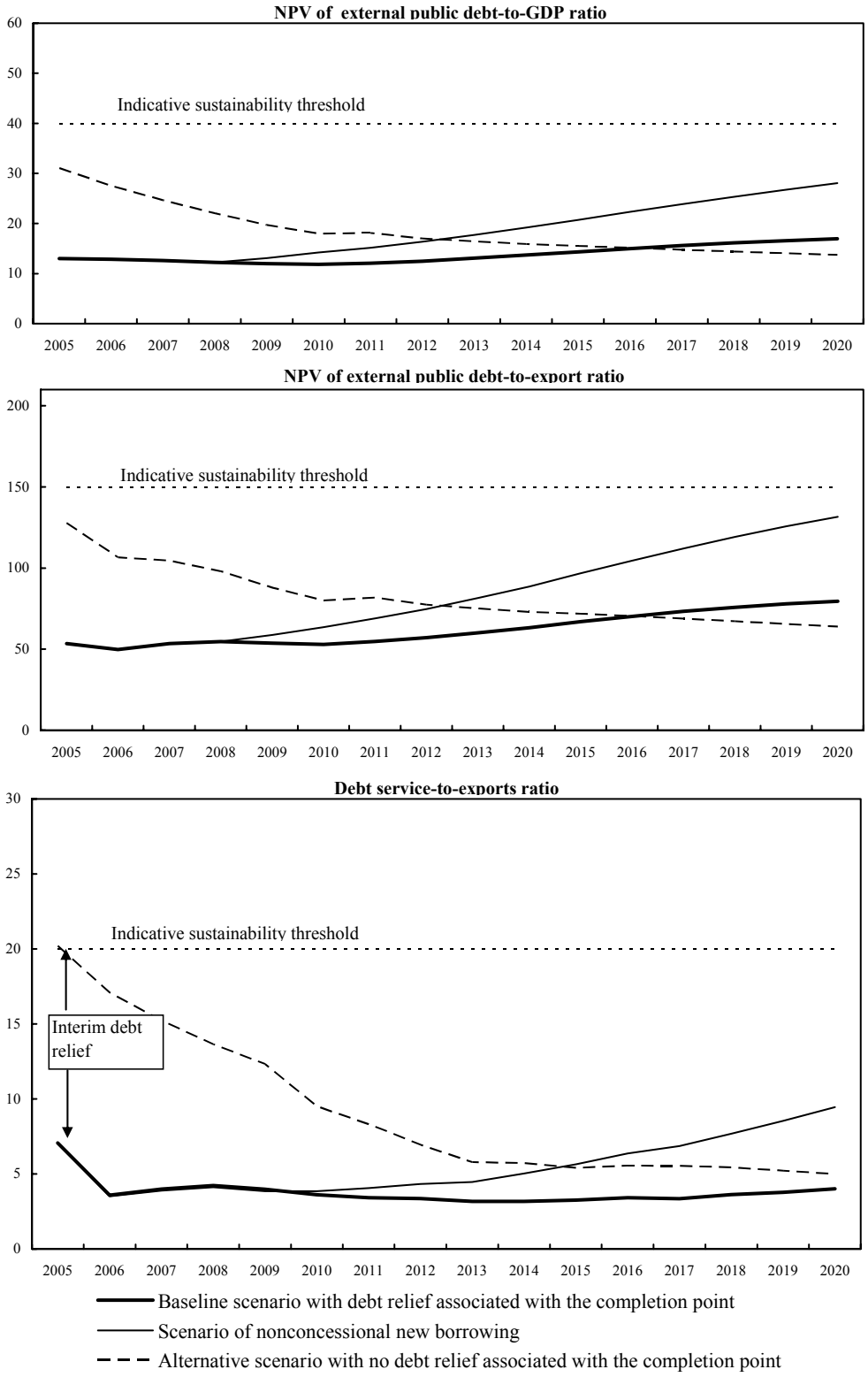
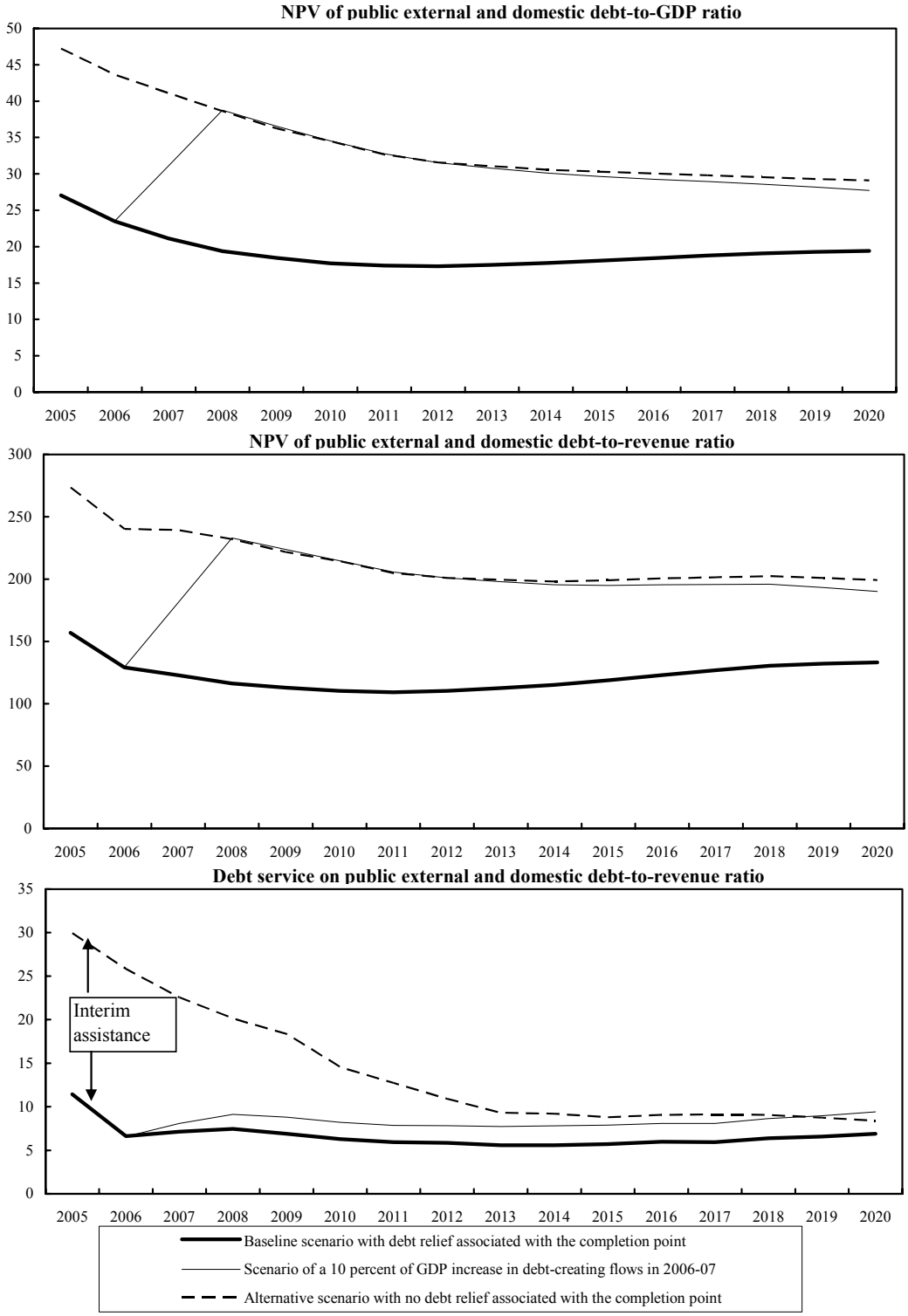


Figure 2. Cameroon: Indicators of Public and Publicly Guaranteed External Debt
Under Alternative Scenarios, 2005-20 (In percent)



Source: staff projections and simulations.

Figure 3. Cameroon: Indicators of Public External and Domestic Debt, 2005-20
(In percent)



Source: Staff projections and simulations.

Table 1. Cameroon: External Debt Sustainability, Baseline Scenario, 2004-20 1/
(In percent of GDP, unless otherwise indicated)

	Actual	Historical Average 5/	Projections									
	2004		2005	2006	2007	2008	2009	2010	2005-10 Average	2015	2020	2011-20 Average
External debt (nominal) 1/	44.0		41.2	40.4	39.5	38.1	36.9	35.7		31.9	29.8	
of which: public and publicly guaranteed (PPG)	44.0		41.2	40.4	39.5	38.1	36.9	35.7		31.9	29.8	
Change in external debt	-3.3		-2.7	-0.8	-0.9	-1.4	-1.2	-1.2		-0.4	-0.5	
Identified net debt-creating flows	-3.8		1.0	-0.7	1.8	3.0	3.0	2.7		4.2	5.6	
Non-interest current account deficit	2.5	0.6	2.0	0.7	2.7	4.3	4.4	4.2		5.2	6.6	5.5
Deficit in balance of goods and services	3.9		3.5	2.2	4.3	5.8	5.9	5.6		6.4	7.7	
Exports	23.4		24.3	25.8	23.6	22.4	22.3	22.4		21.4	21.3	
Imports	27.2		27.8	28.1	27.9	28.2	28.1	28.0		27.8	29.0	
Net current transfers (negative = inflow)	-0.8	-0.9	-1.1	-1.1	-0.9	-0.9	-0.9	-0.9		-0.7	-0.7	-0.7
Other current account flows (negative = net inflow)	-0.6		-0.5	-0.5	-0.7	-0.7	-0.6	-0.6		-0.5	-0.5	
Net FDI (negative = inflow)	-0.2	-0.2	-0.2	-0.2	-0.2	-0.2	-0.2	-0.1		-0.1	-0.1	-0.1
Endogenous debt dynamics 2/	-6.1		-0.7	-1.2	-0.7	-1.1	-1.2	-1.3		-0.9	-0.9	
Contribution from nominal interest rate	0.6		0.5	0.5	0.7	0.7	0.6	0.6		0.5	0.5	
Contribution from real GDP growth	-1.4		-1.2	-1.7	-1.4	-1.8	-1.9	-1.9		-1.4	-1.4	
Residual 3/	0.5		-3.8	-0.1	-2.7	-4.4	-4.2	-3.9		-4.6	-6.2	
o/w exceptional financing	-3.7		-2.4	-3.3	-2.4	-2.0	-1.8	-1.3		-0.6	-0.5	
NPV of PPG external debt	14.6		13.0	12.9	12.6	12.3	12.0	11.8		14.3	17.0	
In percent of exports	62.3		53.5	49.8	53.5	54.6	53.8	52.9		66.9	79.5	
PPG ratio debt service to exports ratio (in percent)	8.6		7.1	3.6	4.0	4.2	4.0	3.6		3.3	4.0	
Key macroeconomic assumptions												
Real GDP growth in US dollars terms(in percent)	3.5	4.2	2.8	4.2	3.7	4.9	5.2	5.6	4.4	4.6	4.8	5.0
GDP deflator in US dollar terms (change in percent)	12.4	3.2	2.1	0.1	1.1	2.2	1.5	1.9	1.5	2.0	1.7	1.8
Effective interest rate (percent) 4/	1.4	5.4	1.1	1.3	1.8	1.8	1.7	1.7	1.6	1.6	1.6	1.6
Growth of exports of G&S (US dollar terms, in percent)	13.6	6.4	9.2	10.8	-4.3	1.7	6.1	8.0	5.3	5.6	6.8	6.4
Growth of imports of G&S (US dollar terms, in percent)	15.4	7.1	7.1	5.3	4.1	8.3	6.4	7.0	6.4	7.3	7.4	7.3
Grant element of new public sector borrowing (in percent)	...	...	40.8	40.9	40.9	41.0	41.4	41.4	41.1	34.7	34.7	34.7
Memorandum item:												
Nominal GDP (billions of U.S. dollars)	15.9		16.6	17.4	18.2	19.5	20.8	22.4		32.0	43.8	

Source: Staff simulations.

1/ Includes only public and publicly guaranteed external debt.
2/ Derived as $[r - g - \rho(1+g)]/(1+g+\rho+g\rho)$ times previous-period debt ratio; with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.
3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate cha
4/ Current-year interest payments divided by previous period debt stock.
5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

Table 2. Cameroon: Sensitivity Analyses of Public and Publicly Guaranteed External Debt, 2005-20
(In percent)

	Projections							
	2005	2006	2007	2008	2009	2010	2015	2020
NPV of debt-to-GDP ratio (threshold=40)								
Baseline	13	13	13	12	12	12	14	17
A. Alternative scenarios								
A1. Key variables at their historical averages in 2006-20 1/	13	13	13	11	9	8	3	1
A2. New public sector loans on less favorable terms in 2006-20 2/	13	13	13	12	13	14	21	28
B. Bound tests								
B1. Real GDP growth at historical average minus one standard deviation in 2006-07	13	13	13	12	12	12	15	17
B2. Export value growth at historical average minus one standard deviation in 2006-07 3/	13	15	16	16	16	15	17	18
B3. U.S. dollar GDP deflator at historical average minus one standard deviation in 2006-07	13	14	14	14	14	14	16	19
B4. Net non-debt creating flows at historical average minus one standard deviation in 2006-07 4/	13	13	13	13	13	13	15	17
B5. Combination of B1-B4 using one-half standard deviation shocks	13	15	15	15	15	14	17	19
B6. One time 30 percent nominal depreciation relative to the baseline in 2006 5/	13	18	18	18	17	17	20	24
NPV of debt-to-exports ratio (threshold=150)								
Baseline	53	50	53	55	54	53	67	80
A. Alternative scenarios								
A1. Key variables at their historical averages in 2006-20 1/	53	52	53	48	41	35	15	1
A2. New public sector loans on less favorable terms in 2006-20 2/	53	50	54	55	59	64	97	132
B. Bound tests								
B1. Real GDP growth at historical average minus one standard deviation in 2006-07	53	50	53	55	54	53	67	80
B2. Export value growth at historical average minus one standard deviation in 2006-07 3/	53	66	78	80	79	78	90	98
B3. U.S. dollar GDP deflator at historical average minus one standard deviation in 2006-07	53	50	53	55	54	53	67	80
B4. Net non-debt creating flows at historical average minus one standard deviation in 2006-07 4/	53	52	57	58	58	57	70	81
B5. Combination of B1-B4 using one-half standard deviation shocks	53	61	64	66	65	63	76	86
B6. One time 30 percent nominal depreciation relative to the baseline in 2006 5/	53	50	53	55	54	53	67	80
Debt-service ratio (threshold=20)								
Baseline	7	4	4	4	4	4	3	4
A. Alternative scenarios								
A1. Key variables at their historical averages in 2006-20 1/	7	3	4	4	4	3	2	0
A2. New public sector loans on less favorable terms in 2006-20 2/	7	4	4	4	4	4	6	9
B. Bound tests								
B1. Real GDP growth at historical average minus one standard deviation in 2006-07	7	4	4	4	4	4	3	4
B2. Export value growth at historical average minus one standard deviation in 2006-07 3/	7	4	5	5	5	4	5	5
B3. U.S. dollar GDP deflator at historical average minus one standard deviation in 2006-07	7	4	4	4	4	4	3	4
B4. Net non-debt creating flows at historical average minus one standard deviation in 2006-07 4/	7	4	4	4	4	4	3	4
B5. Combination of B1-B4 using one-half standard deviation shocks	7	4	4	4	4	4	4	5
B6. One time 30 percent nominal depreciation relative to the baseline in 2006 5/	7	4	4	4	4	4	3	4
Memorandum item:								
Grant element assumed on residual financing (i.e., financing required above baseline) 6/	36	36	36	36	36	36	36	36

Source: Staff projections and simulations.

1/ Variables include real GDP growth, growth of GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
2/ Assumes that new borrowing is not concessional with the interest rate of 8 percent, while grace and maturity periods are the same as in the baseline.
3/ Exports values are assumed to remain permanently at the lower level, but the current account as a share of GDP is assumed to return to its baseline level after the shock (implicitly assuming an offsetting adjustment in import levels).
4/ Includes official and private transfers and FDI.
5/ Depreciation is defined as percentage decline in dollar/local currency rate, such that it never exceeds 100 percent.
6/ Applies to all stress scenarios except for A2 (less favorable financing) in which the terms on all new financing are as specified in footnote 2.

Table 3. Cameroon: Public External and Domestic Debt Sustainability, Baseline Scenario, 2004-20
(In percent of GDP, unless otherwise indicated)

	Actual			Estimate					Projections				
	2004	Historical Average 5/	Standard Deviation 5/	2005	2006	2007	2008	2009	2010	2005-10 Average	2015	2020	2011-2020 average
Public sector debt 1/	61.0			55.3	51.0	48.0	45.3	43.3	41.6		35.6	32.3	
o/w foreign-currency denominated	44.0			41.2	40.4	39.5	38.2	36.9	35.7		31.9	29.8	
Change in public sector debt	0.7			-5.7	-4.2	-3.0	-2.7	-2.0	-1.8		-0.7	-0.8	
Identified debt-creating flows	-10.4			-7.2	-7.1	-5.1	-4.5	-3.7	-2.8		-0.2	0.6	
Primary deficit	-0.2	-3.1	1.9	-2.7	-1.9	-1.3	-0.5	0.3	0.8	-0.9	2.0	2.5	2.1
Revenue and grants	15.3			17.3	18.2	17.2	16.6	16.3	16.1		15.2	14.6	
of which : grants	0.1			0.4	0.4	0.1	0.1	0.1	0.1		0.0	0.0	
Primary (noninterest) expenditure	15.1			14.6	16.2	15.9	16.2	16.6	16.9		17.2	17.1	
Automatic debt dynamics	-6.5			-2.1	-1.9	-1.3	-2.0	-2.2	-2.3		-1.6	-1.4	
Contribution from interest rate/growth differential	-2.4			-2.2	-2.6	-1.7	-2.0	-2.2	-2.3		-1.6	-1.5	
of which : contribution from average real interest rate	-0.3			-0.5	-0.4	0.1	0.1	0.0	0.0		0.0	0.0	
of which : contribution from real GDP growth	-2.1			-1.7	-2.2	-1.8	-2.1	-2.2	-2.3		-1.6	-1.5	
Contribution from real exchange rate depreciation	-4.2			0.1	0.8	0.4	0.0	0.1	0.0		...	...	
Other identified debt-creating flows	-3.7			-2.4	-3.3	-2.4	-2.0	-1.8	-1.3		-0.6	-0.5	
Privatization receipts (negative)	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	-3.7			-2.4	-3.3	-2.4	-2.0	-1.8	-1.3		-0.6	-0.5	
Other (specify, e.g. bank recapitalization)	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	11.1			1.5	2.8	2.1	1.8	1.7	1.0		-0.5	-1.3	
NPV of public sector debt	**31.6**			**27.1**	**23.5**	**21.1**	**19.4**	**18.5**	**17.7**		**18.1**	**19.4**	
o/w foreign-currency denominated	14.6			13.0	12.9	12.6	12.3	12.0	11.8		14.3	17.0	
o/w external	14.6			13.0	12.9	12.6	12.3	12.0	11.8		14.3	17.0	
NPV of contingent liabilities (not included in public sector debt)	...			...	...	...	...	...	...		...	...	
Gross financing need 2/	2.3			-0.3	-0.3	0.0	0.9	1.5	1.9		2.8	3.5	
NPV of public sector debt-to-revenue ratio (in percent) 3/	**206.7**			**156.9**	**129.3**	**122.9**	**116.4**	**113.0**	**110.3**		**118.9**	**133.1**	
o/w external	95.3			75.3	70.8	73.3	73.8	73.3	73.5		94.3	116.1	
Debt service-to-revenue ratio (in percent) 3/ 4/	**15.2**			**11.4**	**6.6**	**7.1**	**7.4**	**6.9**	**6.3**		**5.7**	**6.9**	
Primary deficit that stabilizes the debt-to-GDP ratio	-0.9			3.0	2.3	1.7	2.3	2.2	2.6		2.7	3.3	
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	3.5	4.2	0.9	2.8	4.2	3.7	4.6	5.2	5.6	4.4	4.6	4.8	5.0
Average nominal interest rate on forex debt (in percent)	1.3	5.3	2.1	1.1	1.3	1.8	1.8	1.7	1.7	1.6	1.6	1.6	1.5
Average real interest rate on domestic currency debt (in percent)	0.3	-1.1	2.4	-0.1	-0.8	1.9	1.9	1.9	1.5	1.0	2.5	4.3	2.9
Real exchange rate depreciation (in percent, + indicates depreciation)	-9.2	-0.1	9.6	0.2	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	2.2	3.0	2.2	1.7	2.9	0.9	1.6	1.7	1.8	1.8	2.0	1.7	1.2
Growth of real primary spending (deflated by GDP deflator, in percent)	19.0	9.1	11.7	-0.5	16.0	1.3	6.7	7.9	7.6	6.5	5.0	4.1	3.7
Grant element of new external borrowing (in percent)	...			...	40.9	40.9	41.0	41.4	41.4	41.1	34.7	34.7	...

Sources: Country authorities; and Fund staff estimates and projections.
1/ Central government
2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.
3/ Revenues including grants.
4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.
5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

Table 4. Cameroon: Sensitivity Analysis for Key Indicators of Public Debt 2004-20

	Est.	Projections							
	2004	2005	2006	2007	2008	2009	2010	2015	2020
NPV of debt-to-GDP ratio									
Baseline	32	27	23	21	19	18	18	18	19
A. Alternative scenarios									
A1. Primary balance is unchanged from 2004	32	29	27	26	24	23	21	13	3
A2. Permanently lower GDP growth 1/	32	27	24	21	20	19	18	20	23
B. Bound tests									
B1. Real GDP growth is at historical average minus one standard deviations in 2006-2007	32	27	24	22	20	19	19	20	22
B2. Primary balance is at historical average minus one standard deviations in 2006-2007	32	27	24	22	20	19	18	18	20
B3. Combination of B1-B2 using one half standard deviation shocks	32	27	23	20	19	18	17	17	18
B4. One-time 30 percent real depreciation in 2006	32	27	29	27	24	23	22	22	23
B5. 10 percent of GDP increase in other debt-creating flows in 2006	32	27	24	31	39	37	35	30	28
NPV of debt-to-revenue ratio									
Baseline	207	157	129	123	116	113	110	119	133
A. Alternative scenarios									
A1. Primary balance is unchanged from 2004	207	170	151	151	146	140	131	13	3
A2. Permanently lower GDP growth 1/	207	157	130	124	118	116	114	129	156
B. Bound tests									
B1. Real GDP growth is at historical average minus one standard deviations in 2006-2007	207	157	132	127	121	119	117	131	150
B2. Primary balance is at historical average minus one standard deviations in 2006-2007	207	157	133	127	121	117	114	121	135
B3. Combination of B1-B2 using one half standard deviation shocks	207	157	129	118	111	108	105	113	126
B4. One-time 30 percent real depreciation in 2006	207	157	160	154	146	141	136	142	158
B5. 10 percent of GDP increase in other debt-creating flows in 2006	207	157	129	181	233	224	215	195	190
Debt service-to-revenue ratio									
Baseline	15	11	7	7	7	7	6	6	7
A. Alternative scenarios									
A1. Primary balance is unchanged from 2004	15	11	10	11	11	9	7	1	1
A2. Permanently lower GDP growth 1/	15	11	6	6	7	7	6	6	9
B. Bound tests									
B1. Real GDP growth is at historical average minus one standard deviations in 2006-2007	15	11	6	6	7	7	7	7	8
B2. Primary balance is at historical average minus one standard deviations in 2006-2007	15	11	6	7	7	7	6	5	7
B3. Combination of B1-B2 using one half standard deviation shocks	15	11	6	6	5	6	5	5	5
B4. One-time 30 percent real depreciation in 2006	15	11	7	8	9	9	8	8	9
B5. 10 percent of GDP increase in other debt-creating flows in 2006	15	11	6	6	7	6	6	5	6

Sources: Country authorities; and Fund staff estimates and projections.
1/ Assumes that real GDP growth is at baseline minus one standard deviation divided by the square root of 20 (i.e., the length of the projection period).